



[Weekly Market Commentary](#)

Dear clients,

Crypto has been outperforming US stocks on a risk-adjusted basis for about two months, but returns for both asset classes have started to converge recently, as US stocks play catch up. That said, we're now about one month away from the July 9 deadline on paused reciprocal tariffs for most nations (August 12 for China), and a lack of momentum on reaching deals with the European Union and Japan could yet derail positive sentiment. Fortunately, it seems like the US and China have agreed to restart trade talks, while weak US jobs data this week has reinforced investor speculation over Fed rate cuts in September. Looking ahead, we think the crypto market's direction from here will depend heavily on upcoming economic data, with US CPI and PPI figures for May to be released next week.

Ethereum has received increased attention lately, marked by a 42% price surge last month and over \$800M in spot ETH ETF inflows across the last 13 days. The Ethereum Foundation recently announced layoffs and restructuring in their Protocol Research & Development teams, signaling a shift to a more assertive strategy amid increased competition in the layer-1 space over the last 12 months. We think progress on stablecoin regulation could be a potential catalyst for further Ethereum adoption, with a final US Senate vote on the GENIUS Act expected in the next two weeks.

On a related note, stablecoin issuer Circle's widely anticipated initial public offering (IPO) was 20-25x oversubscribed this week. Stablecoins' market capitalization has increased by 22% year-to-date to around \$250B as of June 5, a sharp rise from the \$130B at the start of 2024. Onchain stablecoin transaction volumes reached \$20.2T through end-May 2025, surpassing the \$13.8T recorded over the corresponding five-month period in 2024.

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